GEOECONOMIC FALLOUT OF THE US-ISRAEL-IRAN CONFLICT ON INDIA

The **US–Israel conflict with Iran** has disrupted **global supply chains**, exposing India's vulnerabilities in **energy, trade, and inflation**, and creating a **foreign policy dilemma** as it maintains ties with the **US, Israel, and Iran**.

Implications of US-Israel conflict with Iran on India

- **Energy Security Under Severe Threat:** India imports **85%+ of crude oil** and significant **LNG**, mainly from **Saudi Arabia, Iraq, UAE, and Qatar**.
  - **Disruption of the Strait of Hormuz** has affected **oil and LNG flows from Gulf nations**.
  - Low Shock Absorption
    - **China:** stockpiles 110–140 days of import cover.
    - **India's Strategic Petroleum Reserves (SPR):** 5.33 million metric tonnes, covering only a few days of consumption.
  - **Economic Impact:** Crude prices up by 15% causing imported inflation. **Widening Current Account Deficit (CAD)** threatens India's expected 7%+ economic growth.
- **India's LPG Vulnerability:** India is the **2nd largest LPG consumer**, driven by **Pradhan Mantri Ujjwala Yojana** expansion.
  - **~60% of LPG demand is met through imports** due to limited domestic production.
  - Major imports from **UAE, Qatar, Saudi Arabia, Kuwait**; most shipments pass through the **Strait of Hormuz**, making supply vulnerable.
  - **Low Storage Capacity:**
    - **Underground LPG storage:** ~1.4 lakh tonnes (less than 2 days of consumption).
    - **Daily demand: ~80,000 tonnes**, with **85%+ used by households**.
  - **Government Measures:** Under **Essential Commodities Act, 1955**, refineries directed to **maximize LPG production** by diverting **propane and butane**, increasing domestic output by **~25%**.
    - **Household supply prioritized, commercial gas restricted**.
  - **Impact: Hotels & restaurants** face shortages, higher prices, and waiting periods up to 25 days for new LPG bookings.
- **Essential Commodities Act, 1955:** India consumes **~195 MMSCMD of natural gas**, with **~50% imported**, making supply vulnerable to **Strait of Hormuz disruptions**.
  - India invoked the **Essential Commodities Act, 1955** to **prioritise natural gas supply** after LNG disruptions.
  - **New Gas Allocation Plan**
    - **PNG, CNG, LPG production:** 100% supply
    - **Fertilizer plants:** 70%
    - **Industries:** 80%
    - **Refineries:** ~65% of previous consumption
- **Fertilizer Threat:** India lacks **mineable reserves for complex fertilizers**.
  - **Import dependence:**
    - **Merchant ammonia:** Oman, Saudi Arabia, Qatar
    - **Sulphur:** Oman, UAE, Qatar, Kuwait, Saudi Arabia
    - **Phosphoric acid & rock phosphate (for DAP):** Jordan
  - **Domestic urea plants** depend on **LNG imports from Qatar and UAE**.
  - **Current Situation: Urea stock: ~5.5 million tonnes (Feb 2026)** as Rabi season ends and Kharif season is months away.
  - **If Blockade Continues:** Government may **divert natural gas from industry/power sectors** to fertilizer production and city gas distribution to sustain agriculture and food security.
- **Food & Farm Exports:**
  - **Global Trade Research Initiative (GTRI): ~USD 11.8 billion** worth of Indian **food and farm exports to West Asia** at risk.
  - **Major buyers of Basmati rice:** Saudi Arabia, Iraq, UAE, Iran.
  - **3,000+ containers** stranded at **Kandla and Mundra ports** or stuck in transit.
  - In **2025**, India exported **USD 11.8 billion** agri products to **West Asia** (**~21–22% of total agri exports**).
    - Major exports: **cereals, fruits, vegetables, spices, dairy, processed food**.
    - Impact on farmers and processors in **Punjab, Haryana, UP, Andhra Pradesh, Telangana, Maharashtra**.
  - Exporters face **higher marine fuel prices, freight costs, demurrage charges**; urging **Force Majeure declaration** to avoid penalties.

- **Core Industrial Sectors:**
  - **Construction & Cement:** India imports 68.5% of limestone and 62.1% of gypsum from **Bahrain, Kuwait, Oman, Qatar, Saudi Arabia, UAE**. Disruptions may raise cement prices and stall infrastructure projects.
  - **Steel Production: DRI-based steel production** depends on **natural gas**. LNG disruptions from Qatar & UAE may reduce steel output.
  - **Manufacturing & Gems:** India imports **50%+ of copper wire** from the **Gulf region**. **Surat diamond hub** depends on **rough diamonds from UAE and Israel (40%+)**, risking shortages.
- **Rupee Depreciation: Indian Rupee** weakened to **record lows**. **RBI intervened** using **USD 15–20 billion** from **USD 730 billion forex reserves** to stabilize the currency.
- **Safety of Indian Nationals in West Asia:** India has ~**1 crore diaspora in GCC countries**, sending **over USD 51 billion annually in remittances**.
  - Indian nationals affected by attacks on merchant ships.
  - Stranded tourists and transit passengers assisted via flights from **Muscat, Riyadh, and Jeddah**.

Measures India can take to Mitigate the Impacts of the West Asia Conflict

- **Accelerated Diversification:** Expand long-term oil contracts with **Latin America (Brazil, Guyana), West Africa, and US** to reduce dependence on the **Strait of Hormuz**.
- **Expand SPR:** Increase **SPR capacity** to meet the **90-day global benchmark** (current reserves cover **~70–75 days**). Larger underground storage can buffer geopolitical disruptions and supply blockages.
- **Fast-tracking Green Transition:** Scale up **National Green Hydrogen Mission** and renewable energy capacity to reduce imported fossil fuel dependence. Focus on removing regulatory, grid, and storage bottlenecks and ensuring full utilisation of existing renewable capacity.
- **Expand Domestic Gas Production:** Accelerate exploration under **Hydrocarbon Exploration and Licensing Policy (HELP)** to increase **domestic natural gas output**.
- **Scaling Alternative Fertilizers:** Promote domestic production and adoption of **Nano Urea and Nano DAP** to reduce dependence on imported ammonia and LNG.
  - Use **PM PRANAM** to **incentivize states** to reduce **chemical fertilizer use** and shift to **bio-fertilizers and organic farming**.
- **Invoking Force Majeure:** Ministry of Commerce should declare the conflict and **port congestion as Force Majeure** to protect exporters from **penalties and contract cancellations**.
- **ECGC 'War-Risk' Insurance Pool: Export Credit Guarantee Corporation (ECGC)** should create a sovereign-backed war-risk insurance pool to offset high marine **insurance premiums** in the **Red Sea and Strait of Hormuz**, helping **MSME exporters**.
- **Eastern Maritime Corridor (EMC):** Operationalize **Chennai–Vladivostok Eastern Maritime Corridor** to bypass Middle Eastern chokepoints and secure Russian crude oil, coal, and fertilizers via the Indo-Pacific and South China Sea route.

AI IMPACT STUDY ON THE LABOUR MARKET

A **labour market study by Anthropic** highlights AI's growing influence on employment, noting that although **LLMs can theoretically perform many professional tasks**, their **real-world use remains limited**.

- The study introduced **"observed exposure"**, a measure assessing **what AI is actually doing in professional settings**, beyond theoretical capability.

Key Findings

- **Gap b/w Theoretical Capability and Actual Usage: LLMs like Claude** could theoretically perform **94% of tasks** for **computer and math professionals**.
  - In practice, they are used for only **~33% of those tasks**.
- **Identification of High-Exposure & Insulated Sectors**
  - **Most exposed jobs:** computer programmers, customer service representatives, financial analysts; high exposure in **business, finance, computer science, engineering, law, office administration**.
  - **Insulated sectors: construction, agriculture, protective services, personal care**, with limited AI applicability.
- **Sharp Decline in Entry-Level Hiring:** Since **ChatGPT launch (2022)**, entry into **high-exposure occupations (age 22–25)** has fallen by **14%**.
  - Companies reducing **graduate programmes, entry-level analyst cohorts, and junior developer pipelines**.
- **Demographic Disparities in AI Exposure:**
  - **Gender: 54.4%** of the most exposed workers are **female**.
  - **Education:** Workers with **graduate degrees** are **~4× more likely** to be in the **most exposed quartile**.
  - **Race: White workers – 65.1%** of the high-exposure group; **Asian workers nearly twice as likely** to be highly exposed.
  - **Age:** Average age **42.9 years**, slightly higher than workers in unexposed roles.

- **India-Specific Implications: Indian IT sector** faces risks; **Nifty IT index** and stocks of **TCS, Wipro, Infosys** have **declined over 20% in the past year**.
  - **Anthropic's automation tools** can automate data processing, contract analysis, compliance monitoring, customer support, challenging the **Indian IT services model**.
  - Structural challenges include **lack of mathematical and scientific skills** and **low R&D spending** compared to **US and China**.

Impact of AI on Employment

- **Automation of Routine Tasks: AI systems (robots, OCR, process automation)** perform standardised tasks **faster and more accurately**, replacing roles in **assembly lines, data entry, basic processing**.
  - *Example:* **Ola Electric laid off 1,000 employees** after adopting AI tools.
- **Substitution in Customer Service: Generative AI chatbots and virtual agents** handle **queries, complaints, and transactions**, reducing need for **call-centre staff**.
  - *Example:* **LimeChat** enables firms to cut **~80% workforce** for **10,000 monthly queries**.
- **Reduced Demand for Entry-Level Technical Skills: AI coding assistants (GitHub Copilot)** and **automated testing tools** generate and maintain code faster than **junior developers**.
  - Leads to **"hourglass effect"**—high demand for **senior specialists** but fewer **mid/entry-level jobs**.
  - *Example:* **IT sector saw 50,000+ job cuts in 2024**, mainly **entry-level programmers**.
- **Devaluation of Creative Work: AI tools (DALL-E, Midjourney)** generate **logos, designs, content**, reducing demand for **graphic designers and writers**.
  - Human role shifts to **editing AI output** rather than creating original work.

Measures to Make Employment Resilient against the Growing Impact of AI

- **Revolutionize Education:** Introduce **AI literacy in schools** covering data, algorithms, and ethics, integrated with math and social studies.
- **National Re-skilling Pipeline:** Create **"Future Skills" Tax Credit** to incentivize firms to up-skill workers in prompt engineering, data annotation, robotics maintenance.
- **Adopt "Cobotics":** Promote **human–AI collaboration** instead of full automation (e.g., **AI tools assisting call centre agents**).
- **Protect Apprenticeship Economy:** Create **IT sector sandbox environments** where junior employees use AI but are evaluated on innovation and value addition.
- **Cyber-Resilience for MSMEs:** Provide subsidised **"AI Firewall as a Service"** for **MSME clusters** (e.g., Hyderabad pharma, Surat textiles) to prevent **IP theft**.
- **Portable Social Security:** Enforce **Social Security Code, 2020**, so gig workers' contributions remain portable, ensuring pension and health insurance.

VISAKHAPATNAM SELECTED FOR HIGH-ENERGY PROTON ACCELERATOR

Visakhapatnam will host a **high-energy proton accelerator system** to support **India's three-stage nuclear programme** and **thorium use through Accelerator-Driven Systems (ADS)**.

- Chosen for its **strong tech ecosystem** and **sea access for cooling water**.
- Project developed by **Raja Ramanna Centre for Advanced Technology (RRCAT), Indore**.

> Established in **1984**, RRCAT developed India's **synchrotron radiation sources Indus-1 and Indus-2**, which serve as **national research facilities**.

High-energy Proton Accelerator System

- **About:** Uses **electromagnetic fields** to accelerate **protons (ionized hydrogen)** to very high speeds, forming a **proton beam**.
  - The beam hits a **heavy metal target (lead/bismuth)** causing a **spallation reaction**.
  - The collision **breaks the nucleus and releases many neutrons**.
  - These **neutrons trigger nuclear fission**, enabling **energy generation**.
- **ADS: Neutrons from spallation** are supplied to a **sub-critical nuclear reactor core** that cannot sustain a chain reaction independently.
  - The reactor **depends on an external neutron supply from the proton accelerator** to maintain fission.
  - If the **accelerator stops**, neutron supply ends and the **reaction automatically shuts down**, preventing **reactor meltdown**.
- **Need of ADS for India:**
  - **Harnessing Thorium:** India has ~**25% of the world's Thorium reserves**.
    - **Thorium (Th-232)** is **fertile, not fissile** and cannot sustain a chain reaction.
    - It must absorb a **neutron to convert into Uranium-233 (U-233)**, a **highly fissile fuel**.
    - **ADS provides abundant high-energy neutrons** to convert **Thorium into U-233** for electricity generation.
- **Nuclear Waste Management (Transmutation)**
  - **Traditional reactors produce long-lived radioactive waste** (e.g., **Minor Actinides**).
  - **High-energy neutrons in ADS** can **transmute/burn this waste** into **shorter-lived or stable isotopes**, reducing the **nuclear waste disposal burden**.

BLACK RAIN OVER TEHRAN

Residents of **Tehran** experienced **"black rain"** after **Israeli strikes on Iranian oil facilities** caused large fires, raising **environmental & public health concerns**.

- **About Black Rain: Rainfall contaminated with soot, ash, oil particles, and industrial chemicals** from large fires or industrial accidents, making rain **dark and oily**.
  - Occurs after **oil facility fires, refinery explosions, wildfires, volcanic eruptions, or nuclear fallout**.
- **Formation: Explosions at oil storage and refining facilities** release toxic hydrocarbons, sulfur oxides, nitrogen compounds, smoke, and particulates.
  - **Rainfall absorbs these pollutants**, resulting in **black precipitation (black rain)**.
- **Immediate Health Risks: WHO** warned of a **"real danger"**, mainly to **respiratory health**.
  - Risks include **headaches, skin and eye irritation, breathing difficulty, chemical burns** on contact.
  - **Long-term exposure to benzene** (in petroleum mixtures) **increases cancer risk**.
- **Environmental Impact:** Risk of **"forever chemicals"** (Per- and Polyfluoroalkyl substances) from **firefighting foam** contaminating **soil and groundwater**.
  - **Acid rain** may accelerate **building corrosion**.
  - **Toxic compounds** may enter the **food chain through** contaminated vegetation.
- **Historical Precedent: Hiroshima nuclear attack–** radioactive black rain spread contamination beyond the blast zone.

DANDI MARCH

VP paid homage to **Mahatma Gandhi** and the **Dandi March (1930) freedom fighters**, stating that its **spirit of self-reliance** guides India's journey towards **Atmanirbhar and Viksit Bharat**.

- **About Dandi March:** Led by **Mahatma Gandhi** to oppose the **British salt tax** through **civil disobedience**, challenging **British economic control**.
  - **Salt** was chosen as it was a **daily necessity**, making the injustice widely relatable.
- **Timeline and Key Events: 12th March – 6th April 1930:** March from **Sabarmati Ashram to Dandi village (240 miles)**.
  - **Mahatma Gandhi** began with **78 followers**, which later turned into a **mass movement**.
  - Protest targeted the **British salt monopoly and salt tax** under the **Salt Act, 1882**, forcing Indians to buy **taxed salt**.
  - **Breaking the Salt Law: 6th April 1930– Gandhi picked up natural salt at Dandi**, symbolically breaking the **salt law** and triggering **nationwide civil disobedience**.
  - **Regional Actions: C. Rajagopalachari–** broke salt law at Vedaranyam (Tanjore coast, Madras Presidency).
    - **K. Kelappan (Kerala Gandhi)--** led salt marches from Calicut to Payyanur (Malabar).
- **Repression: Mass arrests** by the British; **Mahatma Gandhi arrested on 5th May 1930**.
  - **Dharasana Salt Works (21 May 1930): Sarojini Naidu** led a **nonviolent raid** after Gandhi's arrest.
  - **American journalist Webb Miller** reported the **brutal police lathi-charge on peaceful protesters**.
- **Long-Term Significance:** Drew **global attention**, exposing the **moral bankruptcy of British rule**.
  - Inspired **nonviolent movements worldwide**, including **Martin Luther King Jr.**.

GARO HILLS AUTONOMOUS DISTRICT COUNCIL

Garo Hills Autonomous District Council (GHADC) elections in Meghalaya were postponed due to unrest after a Feb 2026 notification mandating that all candidates **must possess a ST certificate** to contest.

- **Opposition from Non-Tribal Communities: Non-tribal residents of the plains belt**, largely **Muslim communities**, opposed the rule as **unconstitutional and exclusionary**.
  - They argue it **restricts democratic participation** in **five Muslim-dominated GHADC constituencies** and that only Parliament can amend Sixth Schedule provisions.
- **ADCs in Meghalaya: Three ADCs–** Garo Hills, Khasi Hills, Jaintia Hills.
  - **30 members:** 29 elected, 1 nominated by the Governor.
- **Coordination: District Council Affairs Department (State Government)** coordinates b/w **District Councils** and other **state government departments**.

Autonomous District Councils

- **Administrative Structure: Sixth Schedule areas** in **Assam, Meghalaya, Tripura, Mizoram** organised into **Autonomous Districts and Regions** governed by **District and Regional Councils**.
  - **Governor** can **create, alter, or reorganise** these units.

- **Composition & Tenure: ADC–** up to **30 members (26 elected, 4 nominated by Governor)** with **5-year tenure**.
  - **Exception:** Bodoland Territorial Council – 46 members.
- **Legislative Powers:** Can make laws on **land, forests** (excluding reserved forests), **inheritance, marriage, social customs**, and **regulation of moneylending and trade by non-tribals**, subject to **Governor's assent**.
- **Applicability of Laws: Central and State laws** do **not automatically apply** to **Sixth Schedule areas**; applicability depends on **Governor's or President's notification**.

PM SETU SCHEME

Ministry of Skill Development and Entrepreneurship has constituted a **National Steering Committee (NSC)** as the **apex body** to guide the **PM SETU Scheme**, aimed at upgrading ITIs and improving employability outcomes.

- **About: Vocational education and training upgradation scheme** approved by **Union Cabinet (2025)** with a **60,000 crore budget** to align **skill training with modern industry needs**.
  - Shifts from government-driven training to industry-led skilling, with companies involved in curriculum, training methods, and infrastructure.
- **Hub-and-Spoke ITI Upgradation: 200 "Hub" ITIs** with **advanced infrastructure** will mentor **~4 nearby "Spoke" ITIs** each.
  - Sharing of modern equipment, digital learning resources, and specialised training facilities.
- **Strengthening NSTIs: Five NSTIs** (**Bhubaneswar, Chennai, Hyderabad, Kanpur, Ludhiana**) to be upgraded as global Centres of Excellence.
- **Special Purpose Vehicle (SPV) Governance:** Each upgraded **ITI** managed through **SPV** with **51% industry ownership** and **49% government**.
  - **Industry partners** eligible for up to **83% government funding** for infrastructure and training upgrades.
- **Industry Participation: Ministry of Skill Development and Entrepreneurship** invited **Anchor Industry Partners (AIPs)** through **Expression of Interest (EOI)** to upgrade training institutes.
- **Modern Training Ecosystem:** SPVs can propose curriculum redesign, improved training models, infrastructure upgrades, and industry exposure.
  - **Directorate General of Training** introduced **31 new-age courses** under **Craftsmen Training Scheme (CTS)**.
  - **Target Sectors:** Advanced manufacturing, electronics, mobility, logistics.